7-2a Cost and the Willingness to Sell

Imagine now that you are a homeowner and want to get your house painted. You turn to four sellers of painting services: Vincent, Claude, Pablo, and Andy. Each painter is willing to do the work for you if the price is right. You decide to take bids from the four painters and auction off the job to the painter who will do the work for the lowest price.

Each painter is willing to take the job if the price he would receive exceeds his cost of doing the work. Here the term **cost** (the value of everything a seller must give up to produce a good) should be interpreted as the painter's opportunity cost: It includes the painter's out-of-pocket expenses (for paint, brushes, and so on) as well as the value that the painter places on his time. Table 2 shows each painter's cost. Because a painter's cost is the lowest price he would accept for his work, it measures his willingness to sell his services. Each painter would be eager to sell his services at a price greater than his cost and would refuse to sell his services at a price less than his cost. At a price exactly equal to his cost, he would be indifferent about selling his services: He would be equally happy getting the job or using his time and energy elsewhere.

Table 2

The Costs of Four Possible Sellers

Seller	**Cost**
Vincent	$900
Claude	800
Pablo	600
Andy	500

When you take bids from the painters, the price might start high, but it quickly falls as the painters compete for the job. Once Andy has bid $600 (or slightly less), he is the sole remaining bidder. Andy is happy to do the job for this price because his cost is only $500. Vincent, Claude, and Pablo are unwilling to do the job for less than $600. Note that the job goes to the painter who can do the work at the lowest cost.

What benefit does Andy receive from getting the job? Because he is willing to do the work for $500 but gets $600 for doing it, we say that he receives *producer surplus* of $100.

Producer surplus (the amount a seller is paid for a good minus the seller's cost of providing it)

is the amount a seller is paid minus his cost of production. Producer surplus measures the benefit sellers receive from participating in a market.

Now consider a somewhat different example. Suppose that you have two houses that need painting. Again, you auction off the jobs to the four painters. To keep things simple, let's assume that no painter is able to paint both houses and that you will pay the same amount to paint each house. Therefore, the price falls until two painters are left.

In this case, the bidding stops when Andy and Pablo each offer to do the job for a price of $800 (or slightly less). Andy and Pablo are willing to do the work at this price, while Vincent and Claude are not willing to bid a lower price. At a price of $800, Andy receives producer surplus of $300 and Pablo receives producer surplus of $200. The total producer surplus in the market is $500.

Chapter 7: Consumers, Producers, and the Efficiency of Markets: 7-2a Cost and the Willingness to Sell
Book Title: WGU Economics
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